

inflation-adjusted principal constitutes a loss of purchasing power; investors lose out on an after-tax basis when inflation is high. But during periods of deflation, the TIPS principal shrinks (at least until it reaches par value). This deflation adjustment is tax-deductible and is an offset to the TIPS interest income. Thus there is an after-tax benefit of deflation but an after-tax inflation penalty. Inflationary periods are much more common than deflationary ones, so the net tax effect, on average, is negative.

Because of this, TIPS are best held in tax-deferred accounts. (Taxes are discussed in chapter 12.) The retail version of TIPS is the I Savings Bond (I-Bond, for short). I-Bonds are real zero-coupon bonds. The interest and principal adjustments are paid at maturity or upon redemption by the investor. While interest on I-Bonds is subject to federal income tax, that tax is paid only at redemption.¹⁵ The interest paid is added back to the bond value, so there is a benefit from tax-deferred growth. The indexed principal is not taxed. Accordingly, individual investors should hold I-Bonds—rather than TIPS—in after-tax accounts. Individuals, however, can purchase only \$10,000 of I-Bonds per year. I-Bonds also are not tradeable in secondary markets—if you want to cash out, you must redeem them.

4.7. SUMMARY

1. The TIPS asset class is a poor inflation hedge.

The correlation of TIPS returns with inflation is close to zero. One reason “real” bonds are not so real is that real yields are volatile. The result is that TIPS are poorly correlated with inflation. While a single TIPS can be an inflation hedge, an investment strategy based on a rebalanced portfolio of TIPS is not.

2. Real yields can be negative for extended periods of time.

Negative real yields mean a loss of purchasing power. You need to put aside a larger sum of money today than the cash flows you need to meet in the future.

3. An individual’s portfolio for retirement should not hold only TIPS.

The exception is when the individual knows her future cash flow needs exactly and can immunize them immediately. Otherwise, the need to save over time opens up the investor to time-varying real rates, and then TIPS have little ability to hedge inflation risk. Even when you know your future cash flows exactly, you bear basis risk if your price basket of goods and services is not the CPI basket.

4. Liquidity is an important factor in TIPS markets.

¹⁵ If you use I-Bonds to pay for education expenses and you meet certain income limits and other restrictions, you will not pay any tax.